

I believe that if you invest in U.S. equities during the year 2000 and during the year 2001, you are essentially holding two different investments. Sure, they are the same asset class, namely, U.S. equities. But the returns from these two investments are most likely uncorrelated; that is, the return in one year is independent of the return in the next. If U.S. equities do better than average during 2000, the odds are still only 50/50 that they'll do better than average during 2001. So I would argue that you diversify your investments by holding both equities in 2000 and equities in 2001. You see, in my opinion, the word *diversification* is not just about diversity at any one point in time; it's actually about investing in products that do not move together, so that your shortfall risk (probability of regret) is reduced. Therefore, investing for long periods of time in one asset is qualitatively similar to investing in different assets over one period of time.

By space diversification, I mean that the more independent assets you have in your portfolio (independent in the sense of not moving in tandem with each other), the more diversified the portfolio becomes. I chose the word *space* to reflect this principle because when you diversify across geographic and economic boundaries, you are likely, though not necessarily guaranteed, to find investment assets that move independently.

I do hope you grasp the main point that emerges from this general approach. Specifically, the positive effect of more time (a longer holding period) and more space (more investments that move independently of each other) on your portfolio. Now let me address some of the real-world issues.

Practically speaking, if your investment portfolio is holding only U.S., broad-based equity investments, you are subjecting yourself, in one year, to a 37% risk of not beating a 5% CD. This conclusion comes from the Figure 3.1 one-year, one-fund case. But—and here is the crux—if you can find and invest in another asset class that is expected to increase but is not perfectly correlated with your U.S.-based equity investment, you will gain from the law of diversification. And the less correlated this asset class, mutual fund, or investment is with the U.S. market, the greater will be your gain.

The same diversification principle, of course, is applicable to more than just national stock markets. Bonds, real estate, precious metals,